INVESTMENT RISKS

Mallplaza's risk profile is moderate: its operations are resilient and value depends mainly on market variables. The main risk, with high likelihood, is a rise in long-term rates, which pushes up bond yields and the WACC; it is followed by inflation and weaker macro momentum. Not even the favourable scenarios justify the market price at the report date.

RISK ASSESSMENT

Figure 23 places each risk in a 3x3 matrix by likelihood and impact (low, medium, high); the colour of each label shows its category. Impact is measured as the effect on value per share, using the operational tornado (Figure 24), the WACC and g sensitivity (Figure 25) and the UF sensitivity (Figure 26). Risks that could not be quantified with the model (RR1 and RR2) are placed according to the team's qualitative analysis. Interest-rate risk (FR1) sits in the most severe cell (high/high), and inflation and the macro cycle (MR1) also fall in the red zone; operating deterioration (OR1) and FX (MR3) sit in the centre.

OPERATIONAL RISKS

OR1: Operating deterioration. EBITDA margin, rents, footfall or occupancy falling to their historical lows. The worst case, a 75.8% margin, cuts DCF value to CLP 1,671 (−10.0%), and the historical floor of same-store rent growth takes it to CLP 1,782 (−4.0%) (Figure 24). *(Non-systematic · Medium likelihood · Medium impact)*
Mitigants: stable metrics: EBITDA margin rose from 76.2% (2022) to 80.5% (2025) and occupancy held between 95.5% and 96.6% in 2024-25. After COVID, 1Q22 revenue was already 18% above 1Q19.

OR2: Anchor stores. Anchors, mostly from the Falabella group, drive footfall. Shrinking or losing them would lower visits and rents from smaller stores. The impact ranges from −1.3% to −4.0% (Figure 24). *(Non-systematic · Low likelihood · Low impact)*
Mitigants: long-term leases (average remaining term of 7.1 years) and a proven ability to convert anchor space into smaller stores with higher rent per m².

FINANCIAL RISKS

FR1: Interest rates and cost of capital. Higher long-term rates would raise the WACC and the cost of refinancing debt and the pipeline. Likelihood is high: the 10Y UST moved from 4.98% (model Rf) to 5.22% on 8-Oct-26, a 24-year high (since 2002); the Fed hiked in September and the Central Bank of Chile reports rising local long-term rates. With WACC +50 bp and +100 bp, the target price falls 6.5% and 12.3% (Figure 25). *(Systematic · High likelihood · High impact)*
Mitigants: 79% of debt is fixed-rate in UF, with ~6.7 years of duration, 2.36x net debt/EBITDA and AA+/BBB ratings, which limit the pass-through to the cost of debt; UF-linked rents offset inflation. A higher cost of equity cannot be hedged.

MARKET & MACROECONOMIC RISKS

MR1: Inflation and macro cycle. 79% of debt is in UF: a 3% higher UF takes CLP 38,691 million off accounting earnings (Note 26). On the target price, however, the effect is slightly positive: indexed rents add CLP 40.8 per share and the higher UF debt subtracts 17.7, a net +23.1 (+1.1%) (Figure 26). The risk is that weaker consumption prevents passing the UF through to rents: without that pass-through, UF +3% takes 0.9% off the target price. Weaker consumption also slows the new business lines (Appendix [X]). *(Systematic · High likelihood · Medium impact)*
Mitigants: UF-indexed rents, a model based on rent rather than sales, low (if rising) leverage and an active ability to rotate the portfolio.

MR2: E-commerce. If consumption migrates massively online, malls lose footfall and appeal. E-commerce in Chile exceeded US$10 billion in 2025, around 12.6% of retail sales. The worst traffic case only takes 1.3% off value (Figure 24). *(Systematic · Low likelihood · Medium impact)*
Mitigants: the online channel is maturing with no visible effect on the model (visits +16% in 2025). Malls offer entertainment and dining, hard to replicate online.

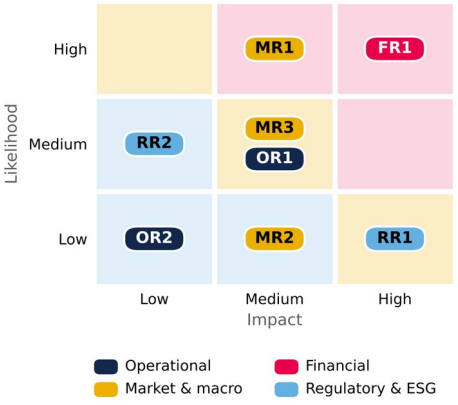
MR3: Foreign exchange. Around 28% of revenue comes from Peru and Colombia, and the model assumes the sol rises from CLP 268 to 290 between 2026 and 2031. A 10% depreciation of the PEN and COP from 2027E takes 4.3% off DCF value, before hedges and the effect on local-currency debt (team estimate). *(Systematic · Medium likelihood · Medium impact)*
Mitigants: Mallplaza raises debt in each country's currency and, where not possible, uses hedging derivatives (forwards, swaps and cross currency swaps) (Management Discussion 2Q26, p. 14).

REGULATORY & ESG RISKS

RR1: Interlocking and conflicts of interest. Falabella controls 53.05% and leases space through Falabella, Sodimac and Tottus, which creates receivables with related parties. Fernando de Peña, Mallplaza's CEO for decades, has chaired Falabella since March 2026. Off-market contracts would directly affect rents and value. *(Non-systematic · Low likelihood · High impact)*
Mitigants: a three-member directors' committee and review of related-party transactions (Law 18,046). Even so, safeguards are limited: only 1 of 9 directors is independent.

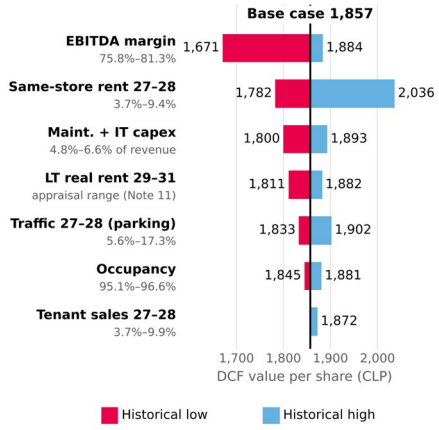
RR2: Regulatory and political. All three governments took office in 2026 with pro-investment agendas, but with different fiscal and legislative room (see Political and economic context): in Chile the corporate tax cut is already law, in Peru the government lacks its own majority, and in Colombia fiscal tightening and high rates weigh on consumption. Permit delays push back pipeline revenue (USD 613 million, 170,200 m² to 2028), with limited value sensitivity. *(Systematic · Medium likelihood · Low impact)*
Mitigants: Law 21,770 (Sep-25) shortens permitting times and Colombia contributes only ~11% of revenue. The model keeps 27%: applying the cut to the Chilean share would lift DCF value ~5.4% (+3.9% on the target price), still far from the market price.

Figure 23: Risk matrix



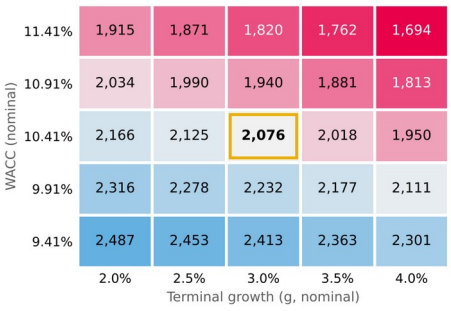
Background colour = severity (likelihood × impact). Source: Team analysis.

Figure 24: Operational risk tornado (CLP per share)



Limits = historical low and high of each driver: Mallplaza earnings releases 4Q23–2Q26 (EBITDA margin, occupancy, same-store rent and sales, visitors) and financial statements (maintenance capex 2024 and LTM 2Q26; appraisal growth range, Note 11). Terminal WACC 10.41% and g 3.0% held constant. Source: Mallplaza; Team analysis.

Figure 25: Target price sensitivity: WACC vs g (CLP)

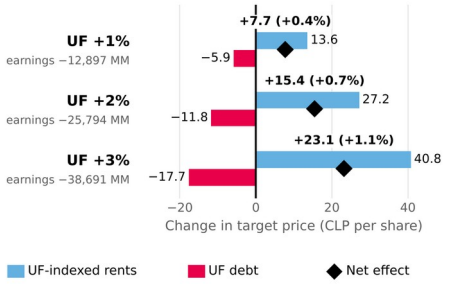


Target price = 80% DCF + 20% EV/EBITDA multiples (CLP 2,951). The g = 2.0% column uses the same formula as the Sensibilidad sheet. Source: Team analysis.

SENSITIVITY ANALYSIS

Value is more sensitive to the discount rate than to operations in the scenarios assessed. The worst operating case, EBITDA margin, takes 10.0% off DCF value (Figure 24), while +100 bp of WACC takes 17.2% off (12.3% of the target price, Figure 25). The current price implies a cap rate close to 6.0%, versus 10.1% in the DCF: the market prices in a low discount rate, which increases the stock's exposure to higher rates. A higher g lowers value because RONIC (5.0%) is below the real WACC (7.2%). The UF barely moves value (+1.1% with UF +3%), as indexed rents offset UF debt. Even the best cell in Figure 25 (CLP 2,487) is below the CLP 3,555 share price, so the recommendation stands.

Figure 26: Target price sensitivity to a rise in the UF (CLP per share)



UF level shock from 2027E, with WACC and g constant. Rents: model's Chile CPI (80% of the target price via DCF); debt: net UF exposure implied by Note 26 (CLP 1.29 trillion). Earnings: +3% reported, +1% and +2% linear extrapolation. Source: Mallplaza financial statements Jun-26, Note 26; Team analysis.

POLITICAL AND ECONOMIC CONTEXT 2026

Country	Government	Measures and signals	Implication for Mallplaza
Chile ~71% of revenue	**José Antonio Kast** (since Mar-26)	Signed the Reconstruction Law (9-Oct-26): corporate tax from 27% to 23% gradually from 2027 and tax invariability [1]. 2027 budget with spending +2.7% vs the 2026 law [2]. S&P affirmed A stable (Sep-26) [3]. Policy rate 4.5% [4]. Stable Senate, fragile lower house [5].	Positive: lower tax (+3.9% on the target price if applied, not included) and faster permits (Law 21,770). Risk: passing the rest of the agenda depends on a lower house without a comfortable majority.
Peru ~19% of revenue	**Keiko Fujimori** (since 28-Jul-26)	Minimum wage from S/ 1,130 to 1,300 and Pensión 65 doubled (S/ 350 to 700) [6]. 2027 budget of S/ 266,506 million, consistent with a 1.4% of GDP deficit [7]. BCRP holds at 4.25% [8]. Fuerza Popular lacks a majority in the bicameral Congress [9].	Positive for consumption and tenant sales. Risk: governability and the fiscal cost of laws passed by the previous Congress (up to S/ 50,000 million per the MEF) [7].
Colombia ~11% of revenue	**Abelardo de la Espriella** (since 7-Aug-26)	The finance ministry puts the deficit at 7.8% of GDP and proposes spending cuts of at least 1% of GDP [10]; tax reform to lower the corporate burden [11]. The central bank raised its rate to 12.25% (30-Sep-26) [12]. S&P BB- stable [13].	Short-term negative: fiscal tightening and high rates slow consumption and pressure the COP (MR3). Limited weight in value.

[1] Emol, 9-Oct-26, "Ley de Reconstrucción promulgada"; CNN Chile, Oct-26. [2] Diario Financiero / El Mostrador, 3-Oct-26. [3] Chilean Ministry of Finance, note on Fitch and S&P, Sep-26. [4] Central Bank of Chile, Oct-26 meeting. [5] El Dínamo, 11-Mar-26. [6] Infobae / La República (Peru), 28-Jul-26. [7] Infobae, 29-Aug-26; El Comercio (MEF). [8] Infobae, 11-Sep-26. [9] América TV, 2026. [10] El Tiempo / La Silla Vacía, Jul-26. [11] Valora Analitik / El Colombiano, 2026. [12] Banco de la República, statement 30-Sep-26. [13] IRC – Colombian Ministry of Finance. Revenue shares 2026E: team model. Source: Team analysis.